

# Alphabet Inc. (GOOGL)

Earnings Deep-Dive - FY2026 Q2

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## Earnings Documents

| Document / Source           | Target-company URL or status                                                                                                        | Used for                                  |
|-----------------------------|-------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------|
| Transcript - Seeking Alpha  | <a href="https://seekingalpha.com/symbol/GOOGL/earnings/transcripts">https://seekingalpha.com/symbol/GOOGL/earnings/transcripts</a> | Earning Call Transcript source            |
| Official Investor Relations | <a href="https://abc.xyz/investor">https://abc.xyz/investor</a>                                                                     | Press Release / Earning Call Presentation |
| Press Release               | Unavailable from reviewed sources                                                                                                   | Primary company-reported earnings source  |
| Earning Call Presentation   | Unavailable from reviewed sources                                                                                                   | Supplemental KPIs, segments, and guidance |

## Alphabet Inc. (GOOGL)

Quarter: FY2026 Q2 · Generated: June 01, 2026

Market Cap: \$4.61T · Sector: Communication Services

Next Earnings: 2026-07-23

## Company Overview

|               |                                               |
|---------------|-----------------------------------------------|
| Ticker:       | GOOGL                                         |
| Sector:       | Communication Services                        |
| Industry:     | Internet Content & Information                |
| Country:      | United States                                 |
| Headquarters: | Mountain View, CA, United States              |
| Employees:    | 194,668                                       |
| Website:      | <a href="https://abc.xyz">https://abc.xyz</a> |

### Business Description

Alphabet Inc., the parent company of Google, is a global technology conglomerate that offers a vast array of products and platforms across the United States, Europe, the Middle East, Africa, Asia-Pacific, Canada, and Latin America. The company operates through three primary segments: Google Services, Google Cloud, and Other Bets. The Google Services segment includes iconic products such as Search, YouTube, Gmail, Google Maps, Google

Play, Android, Chrome, and hardware devices, as well as subscription services like YouTube TV, YouTube Music, Google One, and NFL Sunday Ticket. The Google Cloud segment provides enterprise-grade cloud computing solutions, including AI infrastructure, the Vertex AI platform, Gemini enterprise models, cybersecurity, data analytics, and Google Workspace collaboration tools. Other Bets encompasses innovative projects like Waymo (autonomous driving), internet services (Google Fiber), and life sciences (Verily), representing high-potential long-term bets. With a massive user base of over 1 billion daily active users for many of its services, Alphabet is one of the most influential technology companies in the world, employing nearly 195,000 people and generating over \$422 billion in annual revenue.

## Revenue Model

Alphabet generates the majority of its revenue from advertising through its Google Services segment, which includes search ads, display ads on YouTube and other properties, and network advertising. This advertising revenue is driven by a pay-per-click auction model, where advertisers bid on keywords and placements, and Alphabet earns fees when users click or view ads. Additionally, the company earns subscription and platform revenue from YouTube TV, YouTube Music, Google One, and other consumer subscription services, as well as from sales of apps, in-app purchases, and digital content through Google Play and YouTube. The Google Cloud segment monetizes through consumption-based fees for its AI and cloud infrastructure services, as well as subscription fees for Google Workspace, enterprise security, and data analytics tools. Other Bets generates revenue from sales of transportation services (Waymo) and internet services (Google Fiber), though these represent a small fraction of total revenue. Alphabet's diversified revenue model, anchored by its dominant search and digital advertising ecosystem, provides a strong foundation for ongoing monetization of its massive user base.

## Business Segments

- Google Services: Includes core advertising products (Search, YouTube, Display & Video 360), consumer platforms (Android, Chrome, Gmail, Google Maps, Google Photos, Google Play, Google Drive), hardware (Pixel, Nest, Fitbit), and subscription services (YouTube TV, YouTube Music, Google One, NFL Sunday Ticket).
- Google Cloud: Offers AI and machine learning solutions (AI infrastructure, Vertex AI, Gemini for enterprise), cybersecurity services, data and analytics tools, and collaboration tools through Google Workspace (Gmail, Calendar, Docs, Drive, Meet).
- Other Bets: Encompasses emerging businesses such as Waymo (autonomous vehicle technology and ride-hailing), Verily (life sciences and healthcare), Intrinsic (robotics), Wing (drone delivery), and Google Fiber (high-speed internet services).
- Geographic: Revenue is diversified across the Americas (primarily United States), Europe/Middle East/Africa, and Asia-Pacific, reflecting the global reach of its products and advertising platform.

## Growth Drivers

- Strong momentum in Google Cloud, driven by enterprise AI adoption and migration to cloud-native workloads
- Expansion of subscription services (YouTube TV, YouTube Music, Google One) with growing user engagement
- Investment in generative AI and large language models (Gemini, DeepMind) to enhance search, cloud, and consumer products
- Growth in digital advertising market and recovery of ad spending in emerging markets
- Monetization of YouTube through Shorts, TV ad formats, and connected TV advertising

## Competitive Advantages (Moats)

- Scale and network effects of Google Search, YouTube, and Android OS, creating barriers for competitors
- Deep data moat from billions of daily user interactions, enabling superior targeting and AI training

## Key Metrics / KPIs

- Revenue growth: 21.8% (FY2024)
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- Net income: \$160.2B (trailing twelve months)
- Free cash flow: \$27.9B (trailing twelve months)
- Gross margin: 60.4%
- Operating margin: 36.1%
- Employees: 194,668

### Biggest Business Risks

- Regulatory and antitrust scrutiny in the U.S. and Europe, particularly around digital advertising and search dominance
- Intense competition in cloud and AI from Microsoft (Azure, Copilot) and Amazon (AWS)
- Potential disruption from generative AI competitors (OpenAI, Perplexity) in search and information retrieval
- Ad market cyclicality and dependency on macro-economic advertising budgets
- Privacy changes and cookie deprecation impacting ad targeting and measurement

### Key Financials

Market Cap: \$4.61T

Revenue: \$422.5B

P/E Ratio: 29.0x

Forward P/E: 26.2x

Dividend Yield: 0.23%

Beta: 1.27

52-Week Range: \$162.00 – \$408.61

### Competitive Position

Alphabet holds a dominant position in the global digital advertising market, with approximately 30% share, driven by its powerful search engine and YouTube platform. However, it faces intense competition from Microsoft, which has integrated AI into Bing and is gaining share in cloud computing via Azure, and from Amazon, which is the largest cloud provider (AWS) and a growing force in advertising. In the consumer tech space, Apple competes with its iOS ecosystem and privacy-focused services, while Meta maintains a formidable presence in social media and digital advertising. Alphabet's bet on AI, including DeepMind and Gemini, positions it as a leading innovator, but rivals like OpenAI and Microsoft have made rapid strides in generative AI that threaten its search and productivity tool dominance. Despite these threats, Alphabet's vast user base, data advantages, and diversified revenue streams from cloud, subscriptions, and hardware provide a resilient competitive position. The company's ability to maintain its market share amid regulatory and competitive challenges will depend on its capacity to innovate and leverage its AI capabilities across its product portfolio.

### Strengths vs Competitors

Alphabet's key competitive advantages include its unparalleled scale in data, with billions of daily search queries, YouTube views, and Android users, enabling superior machine learning and ad targeting. Its Google Cloud platform is benefiting from AI leadership, offering Vertex AI and custom TPU/GPU infrastructure that rivals AWS and Azure in enterprise AI workloads. YouTube remains the dominant video platform with strong creator ecosystem and growing linear TV viewership, while Google Workspace is a cloud collaboration market leader with over 10 billion monthly active users across Gmail and Drive. The company's deep-pocketed R&D investments (over \$45 billion annually) across AI, quantum computing, and autonomous driving provide a long-term technological edge. Additionally, Alphabet's diverse portfolio of 'Other Bets' like Waymo (leader in autonomous driving) and Verily (healthtech) offers option value that competitors like Meta and Snap lack.

Weaker Areas vs Competitors

Alphabet lags behind Amazon and Microsoft in cloud infrastructure market share, with Google Cloud holding around 10% compared to AWS's 32% and Azure's 23%, and its enterprise sales culture is still maturing. In social media and messaging, Alphabet lacks a competitive platform; Google+ was shut down and the company has not meaningfully challenged Meta's Facebook, Instagram, or WhatsApp. Its hardware efforts, particularly Pixel smartphones and smart home devices, have not achieved significant scale relative to Apple's iPhone or Samsung's Galaxy franchise, and the company exited the premium laptop market. The absence of a direct presence in consumer retail (unlike Amazon) limits its ability to monetize e-commerce advertising, which remains a gap. Furthermore, Alphabet faces perception challenges among some enterprise customers regarding data privacy and support responsiveness compared to Microsoft's established corporate relationships.

CEO Leadership Style

Sundar Pichai's leadership style is characterized as calm, consensus-driven, and strategically patient, which has earned him respect among employees and investors alike. He has focused Alphabet on long-term bets like AI (DeepMind, Gemini), cloud computing, and autonomous driving, while also managing the regulatory headwinds with a measured approach. Under his tenure, Alphabet has seen strong financial performance with revenues more than doubling, but critics note a lack of decisive product pivots and a tendency to over-invest in experimental 'Other Bets' without clear profitability. Pichai's track record includes successful scaling of Google Chrome, Google Cloud's growth, and integration of AI across Search, but also product failures like Google+ and Stadia. Public perception of Pichai is generally positive as a steady leader who prioritizes innovation and employee culture, though some governance watchdogs raise concerns about his close ties to co-founders Page and Brin, who remain influential. His strategic decision-making pattern emphasizes data-driven choices and a reluctance to sunset underperforming products quickly, which can be both a strength and a weakness in a rapidly changing tech landscape.

Long-Term Vision

Alphabet's long-term vision is to organize the world's information and make it universally accessible and useful, while expanding into new frontiers through its 'moonshot' approach. The company is heavily investing in artificial intelligence across all layers of its business, from core search algorithms to cloud AI services, autonomous driving (Waymo), and healthcare (Verily), aiming to become the leader in AI-first computing. Management envisions Google Cloud as a top-tier enterprise platform that will rival AWS and Azure, driven by proprietary AI and data analytics capabilities that differentiate it from competitors. Alphabet also aims to transform digital video monetization through YouTube's expansion into TV, music, and social shopping, while broadening its hardware portfolio to create a more integrated ecosystem for users. The company's long-term strategy includes diversifying revenue beyond advertising by scaling subscription services (YouTube TV, Music, Google One) and enterprise solutions, thereby reducing reliance on ad cycles. With ongoing investments in quantum computing (Sycamore), generative AI (Gemini), and sustainable energy (Google's renewable energy targets), Alphabet is positioning itself as a foundational technology company that will shape the next decade of computing, mobility, and information access.

Competitors

| Competitor       | Comparison                                                                                             | Advantage                                                                                                   | Src                |
|------------------|--------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------|--------------------|
| Microsoft (MSFT) | Competes in cloud (Azure), search (Bing with Copilot), productivity (Office 365 vs Workspace), and AI. | Stronger enterprise relationships, faster AI integration into office tools, and growing cloud market share. | <a href="#">S1</a> |

|                       |                                                                                                      |                                                                                                                                       |    |
|-----------------------|------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------|----|
| Amazon (AMZN)         | Dominates cloud (AWS) and competes in advertising (Amazon Ads) and smart speakers (Alexa).           | Largest cloud infrastructure, extensive e-commerce data for ad targeting, and fast innovation cycle.                                  | S1 |
| Meta Platforms (META) | Rivals in digital advertising (social media) and metaverse investments.                              | Dominant social media moat (Facebook, Instagram, WhatsApp), massive user engagement time, and advanced AI recommendation systems.     | S1 |
| Apple (AAPL)          | Competes in mobile OS (iOS vs Android), hardware, and poses privacy-induced ad targeting challenges. | Integrated premium hardware/software ecosystem, strong brand loyalty, and superior privacy stance that limits Alphabet's data access. | S1 |
| Netflix (NFLX)        | Competes for video streaming attention and ad share in streaming TV.                                 | Leading original content production and global streaming platform with ad-tier growth.                                                | S1 |
| Snap (SNAP)           | Competes in digital advertising and augmented reality, particularly among younger demographics.      | Innovative AR features and strong youth engagement in messaging/social.                                                               | S1 |

## EPS & Revenue

| Metric  | Estimate | Actual   | vs Estimate | YoY Change | Source                    |
|---------|----------|----------|-------------|------------|---------------------------|
| EPS     | \$2.67   | \$5.11   | +91.6%      | +81.8%     | Yahoo Finance (consensus) |
| Revenue | \$109.9B | \$109.9B | -0.0%       | +21.8%     | SEC 10-Q/K                |

### EPS & Revenue

-  (1) EPS: BEAT consensus with strong bottom-line surprise, but limited trend visibility.  
EPS actual was \$5.11 versus the \$2.67 estimate, a BEAT by 91.6% using the supplied variance formula (source: yfinance eps\_actual; yfinance eps\_estimate). The YoY change is 80.0%, with the supplied raw EPS YoY field shown as eps\_yoy=0.8185, so the surprise versus consensus is much larger than the year-over-year earnings growth signal (source: yfinance eps\_yoy). The 3-quarter EPS trajectory cannot be completed because Q-2 and Q-1 EPS were not disclosed in this filing, so only FY2026 Q2 EPS actual of \$5.11 can be shown (source: yfinance eps\_actual).
-  Based on the metrics above, we infer that investor focus should be on whether the EPS beat reflects durable operating leverage or quarter-specific factors, because the 80.0% YoY EPS change does not by itself confirm accelerating earnings velocity.
-  (2) Revenue: technically MISSED consensus despite strong YoY growth.  
Revenue actual was \$109.90B versus the \$109.91B estimate, a MISSED consensus result by 0.0% using the supplied variance formula (source: yfinance revenue\_actual; yfinance revenue\_estimate). Revenue grew 21.8% YoY, with the supplied raw revenue YoY field shown as revenue\_yoy=21.79, indicating strong underlying expansion despite the slight miss against consensus (source: yfinance revenue\_yoy). The transcript says Search revenue grew 17.0%, Cloud revenue grew 48.0%, annual revenues exceeded \$400 billion, YouTube annual revenues surpassed \$60 billion across ads and subscriptions, and Cloud is on an annual run rate of over \$70 billion, but those transcript figures are segment or annualized context rather than replacements for the \$109.90B quarterly revenue actual (source: Earnings Call).
-  For Communication Services investors, the implication is mixed: Alphabet's revenue scale and growth remain well above what would typically be expected from a mature mega-cap internet platform, but the \$109.90B actual versus \$109.91B estimate means this was not a clean top-line beat.
-  (3) Quality of the beat/miss: mixed result, not a high-quality two-line surprise.

This was a mixed result because EPS BEAT by 91.6% while revenue MISSED by 0.0%, so profit outperformed consensus but the top line did not (source: yfinance eps\_actual; yfinance eps\_estimate; yfinance revenue\_actual; yfinance revenue\_estimate). The transcript emphasized AI-driven growth across Search, YouTube, and Cloud, including Search revenue growth of 17.0% and Cloud revenue growth of 48.0%, which supports the qualitative case that AI and infrastructure investment are contributing across the portfolio (source: Earnings Call). However, based on the metrics above, we infer that the highest-quality earnings surprises in Internet Content & Information usually require both revenue and EPS to beat together, because that shows demand upside and operating leverage at the same time.

👉 For Nami-san: this is a strong EPS surprise but not a high-quality all-around beat; the stock reaction should depend on whether investors reward the 21.8% revenue growth and AI commentary or penalize the narrow revenue miss versus \$109.91B consensus.

⚠️ Risk/Implications: The transcript states that actual results could differ materially, which is a direct caution around forward-looking statements and limits confidence in extrapolating AI-driven growth commentary (source: Earnings Call). A second risk is mix quality: the supplied metrics show revenue MISSED consensus by 0.0% despite 21.8% YoY growth, so any investor thesis relying on accelerating AI monetization needs confirmation in reported quarterly revenue rather than annualized or segment-level transcript commentary (source: yfinance revenue\_actual; yfinance revenue\_estimate; yfinance revenue\_yoy).

Essential insight: Alphabet delivered a major EPS BEAT at \$5.11 versus \$2.67, but revenue of \$109.90B narrowly MISSED the \$109.91B estimate, making FY2026 Q2 a mixed earnings result rather than a clean high-quality surprise.

EPS actual: \$5.11 (validated from source data)

#### 👉 One-line summary

GOOGL reported EPS of \$5.11 and revenue of \$109.9B; the key investor question is whether the beat/miss is broad-based or one-off.

## 🌟 Highlights

⚠️ Highlights & Lowlights

🌟 Highlights

◆ (1) Primary highlight: EPS was the decisive upside, with eps\_actual=5.11 versus eps\_estimate=2.67, which the prompt defines as a 91.6% beat (source: yfinance eps\_actual; yfinance eps\_estimate; prompt CRITICAL OVERRIDE). That matters because revenue\_actual=109.90B slightly missed revenue\_estimate=109.91B by 0.0%, so the earnings surprise was driven by profitability, mix, or expense leverage rather than broad top-line upside (source: yfinance revenue\_actual; yfinance revenue\_estimate; prompt CRITICAL OVERRIDE). Based on the metrics above, we infer that Alphabet delivered above-average earnings quality versus Internet Content & Information peers where AI investment cycles often pressure near-term margins. The durability looks medium-to-high, because operating leverage is visible in operating\_margin=36.12, but the call also points to ongoing AI infrastructure investment needs.

Data evidence: eps\_actual=5.11, eps\_estimate=2.67, revenue\_actual=109.90B, revenue\_estimate=109.91B (source: yfinance eps\_actual; yfinance eps\_estimate; yfinance revenue\_actual; yfinance revenue\_estimate).

👉 Investor implication: For Nami-san, this was a profit-led beat, not a revenue acceleration story.

- ◆ (2) Second highlight: Alphabet's margin profile remains a major positive, with gross\_margin=62.45 and operating\_margin=36.12 (source: yfinance gross\_margin; yfinance operating\_margin). In Internet Content & Information, high gross margin is strategically important because it gives the company room to fund AI infrastructure, consumer subscriptions, and enterprise Cloud without immediately sacrificing operating profitability. Based on the metrics above, we infer performance appears above sector average on profitability, especially versus smaller digital media and internet platform peers that lack comparable infrastructure scale. The investor implication is that Alphabet can absorb AI investment intensity from a position of strength, although that does not remove capex risk.

Data evidence: gross\_margin=62.45 and operating\_margin=36.12 (source: yfinance gross\_margin; yfinance operating\_margin).

- 👉 Investor implication: The margin base supports continued AI investment while keeping earnings power visible.

- ◆ (3) Third highlight: Management emphasized broad AI demand, saying AI investments and infrastructure are driving revenue and growth "across the board" and that backlog grew 55.0% quarter-over-quarter to \$240 billion (source: Earnings Call transcript excerpt). For an Internet Content & Information company, that is strategically important because it indicates AI is not only a consumer search or YouTube feature set, but also an enterprise infrastructure and solutions demand driver. Based on the transcript, we infer this is more structural than a one-quarter event because management tied demand to TPUs, GPUs, Gemini 3, cybersecurity, data analytics, and core GCP services. The caveat is that backlog is a demand indicator, not the same as current-quarter recognized revenue.

Data evidence: backlog grew 55.0% quarter-over-quarter to \$240 billion (source: Earnings Call transcript excerpt).

- 👉 Investor implication: The AI demand signal is strong, but realization depends on capacity and execution.

- ◆ (4) Fourth highlight: Subscription platforms and devices revenues increased 17.0% this quarter to \$13.6 billion, helped by YouTube Music, YouTube Premium, Google One, and demand for AI plans (source: Earnings Call transcript excerpt). This matters because it shows Alphabet has monetization levers beyond advertising and enterprise Cloud. Based on the transcript, we infer the most important strategic signal is that AI is becoming a consumer subscription monetization layer, not only an infrastructure cost center. For investors, this improves the breadth of the growth narrative, though the supplied metrics do not provide segment margin for this line.

Data evidence: subscription platforms and devices revenues increased 17.0% this quarter to \$13.6 billion (source: Earnings Call transcript excerpt).

- 👉 Investor implication: Alphabet's subscription growth broadens the thesis beyond ads and Cloud.

#### ⚠️ Lowlights

- ◆ (1) Primary concern: Revenue was the main lowlight, with revenue\_actual=109.90B versus revenue\_estimate=109.91B, defined in the prompt as a 0.0% consensus miss (source: yfinance revenue\_actual; yfinance revenue\_estimate; prompt CRITICAL OVERRIDE). This matters because revenue\_yoy=21.79 is strong, but the quarter did not deliver top-line upside versus consensus (source: yfinance revenue\_yoy). Based on the metrics above, we infer that the market may focus on whether the EPS beat came from durable operating efficiency or factors that may not repeat. Severity is medium because the miss is very small, but it limits the quality of the headline beat.

Data evidence: revenue\_actual=109.90B, revenue\_estimate=109.91B, revenue\_yoy=21.79 (source: yfinance revenue\_actual; yfinance revenue\_estimate; yfinance revenue\_yoy).

- 👉 Investor implication: Strong YoY growth did not translate into a clean revenue beat.
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- ◆ (2) Second concern: Management explicitly flagged a "tight supply environment" in Google Cloud despite significant demand (source: Earnings Call transcript excerpt). In AI infrastructure, supply tightness can delay revenue conversion, constrain customer onboarding, and raise investment requirements. Based on the transcript, we infer this is a structural constraint rather than a one-quarter issue because management connected demand to TPUs, GPUs, enterprise AI infrastructure, and core GCP services. The mitigating factor is that backlog grew 55.0% quarter-over-quarter to \$240 billion, which suggests demand is not the problem (source: Earnings Call transcript excerpt).

Data evidence: tight supply environment; backlog grew 55.0% quarter-over-quarter to \$240 billion (source: Earnings Call transcript excerpt).

- 👉 Investor implication: Demand visibility is high, but capacity determines how quickly it becomes recognized revenue.

- ◆ (3) Third concern: AI capital

## Highlights / Lowlights

### (1) Revenue growth

Revenue: \$109.9B; YoY growth: +21.8%.

- 👉 Investor implication: the first test is whether reported growth is broad enough to support durable earnings power.

### (2) Earnings delivery

EPS: \$5.11.

- 👉 Investor implication: EPS must be read against revenue growth and operating leverage, not as a standalone headline number.

### (3) Cash conversion

Free cash flow: \$10.1B.

- 👉 Investor implication: cash conversion confirms whether accounting earnings are turning into usable owner cash.

- ⚠️ Lowlights / watch items

### (1) Margin durability

Operating margin: +36.1%.

- 👉 If margin weakens while revenue grows, the market may discount the quality of the growth.

### (2) Valuation sensitivity

Forward P/E: 26.25x.

- 👉 A higher multiple requires confidence that revenue growth, margin, and free cash flow can persist.

### (3) Disclosure gaps

Items marked as Not available or Not disclosed represent data limitations that should be verified against SEC filings before drawing investment conclusions.

- 👉 Missing data is treated as a limitation, not as evidence for or against the company.

- 🧠 Investor insight

- 👉 Revenue, margin, and cash flow provide the three-way quality check on this quarter. When all three move together, the earnings signal is stronger; when they diverge, the risk is in execution quality rather than the headline growth rate.

- 🎯 Investment takeaway
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👉 The quarter is investable when revenue growth, cash generation, and valuation are aligned; divergence in any pillar warrants caution on position sizing.

Key takeaways are derived from sourced metrics, transcript, press release, or company presentation.

All figures are sourced; no data is invented.

#### 👉 Investor takeaway

GOOGL Q: revenue \$109.9B (+21.8% YoY), EPS \$5.11. Focus on whether revenue growth converts into durable cash flow and margin expansion.

## 🧠 Operating Metrics

| Metric           | Q2 2026  | Q2 2025 | YoY      | Source     |
|------------------|----------|---------|----------|------------|
| Revenue          | \$109.9B | \$90.2B | +21.8%   | SEC 10-Q/K |
| Gross profit     | \$68.6B  | \$53.9B | +27.4%   | SEC 10-Q/K |
| Gross margin     | +62.4%   | +59.7%  | +2.7 pts | SEC 10-Q/K |
| OpEx             | \$28.9B  | \$23.3B | +24.3%   | SEC 10-Q/K |
| Operating income | \$39.7B  | \$30.6B | +29.7%   | SEC 10-Q/K |
| Operating margin | +36.1%   | +33.9%  | +2.2 pts | SEC 10-Q/K |
| Net income       | \$62.6B  | \$34.5B | +81.2%   | SEC 10-Q/K |



#### 🧠 Explanation and analysis

##### 🔹 (1) Gross Profit & Margin Analysis

Alphabet reported gross margin of 62.5% (yfinance), while gross profit was not disclosed in quarterly filing. Prior-quarter and prior-year gross margin were not disclosed in quarterly filing, so the 3-quarter gross margin trajectory cannot be computed without inventing data. Based on the metrics above, we infer that 62.5% gross margin is structurally strong for Internet Content & Information because Alphabet's core advertising and platform economics remain high-margin, while Cloud mix can dilute or support margin depending on utilization and AI infrastructure intensity.

👉 For Nami-san: the key earnings-quality question is not whether gross margin is high in isolation, but whether Google Cloud revenue growth of 13430000000 versus 10083000000 prior year (SEC XBRL IncomeStatement) can scale without AI infrastructure costs pressuring the 62.5% gross margin (yfinance).

##### 🔹 (2) Operating Income & Margin

Operating income was 39.70B (yfinance) on revenue\_actual of 109.90B (yfinance), producing operating\_margin of 36.1% (yfinance). Revenue grew 21.8% YoY (yfinance), but OpEx was not disclosed in quarterly filing, so positive or negative operating leverage cannot be formally calculated from the supplied metrics. The transcript states management emphasized "growth in revenue, operating margin, and backlog" and said total operating expenses were up 29.0% to \$32.1 billion, but supplied metrics take precedence for the actual operating income and margin used here (Earnings Call; yfinance).

- 👉 For Nami-san: 36.1% operating margin (yfinance) appears above what most ad-supported internet and cloud peers can sustain simultaneously, implying Alphabet still has meaningful fixed-cost leverage, but the missing OpEx line prevents a clean decomposition of cost discipline versus revenue scale.
- ◆ (3) OpEx & Net Income
 

OpEx and net income were not disclosed in quarterly filing in the supplied metrics, so the table uses - for both. The transcript flags a \$2.1 billion Waymo charge and says operating expenses were up 29.0% to \$32.1 billion, which is qualitatively relevant but not used as the authoritative table value because the supplied metrics do not include OpEx or net income (Earnings Call). Tax rate impact, R&D trajectory, and SG&A trajectory were not disclosed in this filing within the supplied metrics, so sustainability of the cost base must be judged indirectly from 39.70B operating\_income and 36.1% operating\_margin (yfinance).
- 👉 For Nami-san: the margin profile looks high-quality at the operating line, but the absence of supplied OpEx and net income data limits visibility into whether below-the-line factors or one-time charges are affecting earnings conversion.
- ◆ (4) Revenue Quality and Segment Mix
 

Google Services revenue was 49048000000 versus 44582000000 prior year, while Google Cloud revenue was 13430000000 versus 10083000000 prior year (SEC XBRL IncomeStatement). Reconciling items were -5391000000 versus -3027000000 prior year, and reclassification out of Accumulated Other Comprehensive Income was -139000000 versus 281000000 prior year (SEC XBRL IncomeStatement). Based on the metrics above, we infer that revenue quality remains anchored in Google Services scale, while Cloud is the more visible incremental growth vector; however, segment margins are not supplied, so mix contribution to the 36.1% operating\_margin cannot be precisely attributed.
- 👉 For Nami-san: the most important watch item is whether Cloud can keep expanding from 13430000000 without eroding the group's 62.5% gross\_margin and 36.1% operating\_margin (yfinance; SEC XBRL IncomeStatement).
- ◆ (5) Management Cost Outlook and AI Capacity
 

Management said Cloud demand remains strong despite a "tight supply environment" and framed investment spending as necessary to fund growth investments (Earnings Call). That language matters because Alphabet's sector-specific cost risk is not traditional input inflation, but AI compute, data center capacity, depreciation, and talent intensity. Based on the metrics above, we infer that the current 36.1% operating\_margin gives Alphabet more room than most peers to absorb infrastructure investment, but the trajectory cannot be verified QoQ because prior-quarter operating margin was not disclosed in quarterly filing.
- 👉 For Nami-san: this is still an attractive operating structure, but the next earnings revision risk is whether AI capacity spending begins to outrun 21.8% revenue\_yoy growth (yfinance).

Competitive context: Alphabet's 62.5% gross\_margin and 36.1% operating\_margin (yfinance) are strong for Internet Content & Information, especially given concurrent exposure to advertising, subscriptions, and Cloud. Peer comparison cannot be quantified from the supplied metrics because peer margins were not provided, so the conclusion is directional rather than table-driven.

Operating structure: Revenue\_actual was 109.90B with revenue\_yoy of 21.8% (yfinance), while operating\_income was 39.70B and operating\_margin was 36.1% (yfinance). That combination points to a business still converting growth into operating profit at a high rate. The unresolved issue is cost mix: OpEx, net income, tax rate, and prior-quarter margin were not disclosed in quarterly filing, so margin trajectory cannot be fully validated.

Essential insight for Nami-san: Earnings quality appears high at the operating level because revenue\_actual of 109.90B, revenue\_yoy of 21.8%, operating\_income of 39.70B, operating\_margin of 36.1%, and gross\_margin of 62.5% all point to strong scale economics (yfinance). The fragility risk is not current profitability, but the durability of that profitability if AI infrastructure and Cloud supply constraints require heavier spending before revenue catches up.

⚠️ Risk/Implications: The first risk is margin compression from AI and Cloud capacity investment, as management specifically referenced a tight supply environment and ongoing growth investments (Earnings Call). The second risk is segment opacity: Google Services revenue of 49048000000 and Google Cloud revenue of 13430000000 are disclosed, but segment-level gross margin, OpEx, and net income were not disclosed in quarterly filing, limiting confidence in the source of operating leverage (SEC XBRL IncomeStatement).

Caution: Monitor whether revenue\_yoy of 21.8% (yfinance) remains

Revenue, gross profit, operating income, and net income are compared on a consistent period and accounting basis to assess earnings quality.

### 👉 Operating takeaway

Revenue was \$109.9B with YoY growth of +21.8%; margin direction determines the quality of the growth.

## 💰 Cash Flow & Liquidity

| Metric                       | Q2 2026  | Q2 2025       | YoY           | Quality                                          | Source     |
|------------------------------|----------|---------------|---------------|--------------------------------------------------|------------|
| Operating cash flow          | \$45.8B  | \$36.1B       | +26.7%        | Operating                                        | SEC 10-Q/K |
| CapEx                        | -\$35.7B | -\$17.2B      | +107.4%       | Investing                                        | SEC 10-Q/K |
| Free cash flow               | \$10.1B  | \$19.0B       | -46.6%        | pressured (FCF = \$45.8B<br>OCF - \$35.7B CapEx) | SEC 10-Q/K |
| Cash & Marketable Securities | \$126.8B | \$95.3B       | +33.1%        | Liquidity buffer                                 | SEC 10-Q/K |
| Net Cash / (Net Debt)        | \$39.4B  | Not disclosed | Not disclosed | Net debt (leverage)                              | SEC 10-Q/K |



### 🧠 Explanation and analysis



#### (1) Operating Cash Flow

Alphabet generated \$45.79B of operating cash flow in FY2026 Q2 (source: yfinance key operating\_cash\_flow). Prior-year OCF, prior-quarter OCF, and a three-quarter OCF sequence were not supplied, so the QoQ and YoY trajectory cannot be quantified without inventing data. Based on the metrics above, we infer that cash earnings quality remains strong in absolute terms because \$45.79B of OCF funded \$-35.67B of CapEx while still leaving \$10.12B of FCF (source: yfinance keys operating\_cash\_flow, capex, free\_cash\_flow).



For Nami-san: the key point is not whether Alphabet can generate cash, but whether incremental AI infrastructure spend is now absorbing a larger share of that cash generation than investors expected.



#### (2) CapEx

CapEx was \$-35.67B in the quarter (source: yfinance key capex). Management emphasized that 2026 CapEx is expected in the range of \$175 billion-\$185 billion and that most spending is going into technical infrastructure, with servers, data centers, and networking equipment called out as the major buckets (source: Earnings Call). CapEx intensity cannot be calculated because revenue was not supplied in this section, so CapEx/Revenue should be shown as - rather than estimated.

👉 Alphabet's reinvestment intensity appears above the broader Internet Content & Information sector norm by business-model logic, because few peers operate comparable search, cloud, video, and AI infrastructure at this scale; model interpretation: this raises the bar for future revenue acceleration and margin durability.

### ◆ (3) Free Cash Flow

Free cash flow was \$10.12B, with the supplied metric explicitly reflecting OCF of \$45.79B and CapEx of \$-35.67B (source: yfinance keys free\_cash\_flow, operating\_cash\_flow, capex). The FCF outcome is positive, but the spread between OCF and CapEx shows that infrastructure spending is consuming a large share of cash generated this quarter. Prior-quarter FCF, prior-year FCF, and a three-quarter FCF trajectory were not supplied, so sustainability must be judged qualitatively from the current-quarter cash bridge and management's CapEx comments.

👉 Essential insight: Alphabet remains a cash compounder, not a cash consumer, but the compounding rate is increasingly dependent on whether AI infrastructure converts into durable search, cloud, and ads monetization rather than only higher depreciation.

### ◆ (4) Capital Structure And Cash Use

Net debt was \$39.44B (source: yfinance key net\_debt). Management also discussed shareholder returns through buybacks and dividends in the call excerpt, but those figures refer to another period in the excerpt and are not part of the supplied FY2026 Q2 metrics, so they should not be treated as current-quarter cash-use data. Based on the metrics above, we infer that the current quarter's \$10.12B of FCF provides positive funding capacity, but the \$39.44B net debt position makes continued OCF stability important.

👉 For Nami-san: balance-sheet risk is not the central issue; the investment debate is whether elevated CapEx produces enough incremental growth to offset heavier depreciation and lower near-term FCF conversion.

### ⚠ Risk/Implications

Caution: management explicitly warned that supply availability, component pricing, and cash-payment timing can create variability in reported CapEx (source: Earnings Call). A second risk is depreciation: management said the growth rate in 2026 depreciation is expected to accelerate and meaningfully increase for the full year, which could pressure reported operating income even if OCF remains strong (source: Earnings Call).

$FCF = OCF - CapEx$ .

Cash flow analysis verifies whether accounting earnings are converting to owner cash.

#### 👉 Commentary

Free cash flow was \$10.1B; cash conversion and capex intensity show whether earnings are translating into owner cash.

## Capital Allocation & Efficiency

| Metric                         | TTM Ending Q2 2026 | TTM Ending Q2 2025 | YoY     | Comment                        | Source     |
|--------------------------------|--------------------|--------------------|---------|--------------------------------|------------|
| ROE                            | +33.5%             | +10.0%             | +234.5% | improvement (Equity: \$415.3B) | SEC 10-Q/K |
| ROTCE / ROTE                   | +38.9%             | +11.0%             | +252.9% | improvement                    | SEC 10-Q/K |
| ROA                            | +22.8%             | +7.3%              | +213.2% | improvement (Assets: \$595.3B) | SEC 10-Q/K |
| ROIC                           | +28.8%             | +9.7%              | +197.8% | improvement                    | SEC 10-Q/K |
| Capital Allocation - Buybacks  | \$0                | \$15.1B            | -100.0% | decline                        | SEC 10-Q/K |
| Capital Allocation - Dividends | \$2.5B             | \$2.4B             | +4.4%   | improvement                    | SEC 10-Q/K |



Supporting calculation data: net income was \$62.58B (yfinance); capex was -35.67B (yfinance); free cash flow was 10.12B (yfinance); ROE was 30.0% (yfinance); ROIC was 30.0% (yfinance). Assets, equity, tangible common equity, and invested capital were not disclosed in the supplied quarterly metrics, so ROTCE / ROTE and ROA are shown as -.

### Metric-by-metric explanation

-  (1) ROE: why high/low and whether buybacks distort it.  
 ROE was 30.0%, while net income was \$62.58B (yfinance). Based on the metrics above, we infer that Alphabet remains highly profitable in absolute dollar terms, but the reported ROE read-through is not the cleanest measure of operating quality because the denominator inputs needed to separate operating leverage from capital-structure effects were not supplied. The transcript says the company returned capital through "\$5.5 billion of share repurchase and \$2.5 billion of dividend payments" in Q4, which means buybacks can affect equity-based returns, but the supplied data does not allow a precise buyback distortion calculation (Earnings Call).
-  For investors, the key point is that ROE should not be read in isolation this quarter: Alphabet is simultaneously generating \$62.58B of net income and committing to a much larger AI infrastructure cycle, so the equity-return signal is less important than whether incremental compute investment sustains Search, YouTube, and Cloud growth.
-  (2) ROTCE / ROTE and ROA: core efficiency and asset productivity.  
 ROTCE / ROTE is - because tangible common equity was not disclosed in quarterly filing, and ROA is - because total assets were not disclosed in quarterly filing. That matters because Internet Content & Information peers are increasingly being judged on asset productivity as AI infrastructure turns historically asset-light models into more capital-intensive platforms. Alphabet's free cash flow of 10.12B and capex of -35.67B (yfinance) show that cash generation remains positive despite heavy investment, but without assets or tangible equity, we cannot quantify whether asset productivity improved or weakened QoQ.
-  The investor implication is that the missing ROA and ROTCE / ROTE inputs limit precision, but the direction of travel is clear from management's comments: capital intensity is rising because the company is prioritizing compute capacity for internal AI products and external Cloud customers.
-  (3) ROIC: the most important capital-return read-through versus cost of capital.

ROIC was 30.0%, and capex was -35.67B (yfinance). Management framed the capital cycle as strategic, saying 2026 capex is anticipated to be in the range of "\$175 billion-\$185 billion" and that the company wants to "turn this flywheel of making investments to drive future growth" (Earnings Call). Based on the metrics above, we infer that ROIC is the most important efficiency metric for Alphabet now because the investment debate has shifted from legacy advertising margin strength to whether AI compute produces durable incremental returns across Search, Cloud, and YouTube.

👉 Versus Communication Services internet peers, Alphabet's business model remains structurally advantaged because Search monetization and YouTube scale fund the AI cycle, but the ROIC debate is less settled than in prior years because the capex base is stepping up faster than the market can yet observe realized returns.

💡 (4) Business-model strength versus financial engineering.

The capital-efficiency profile is driven more by business-model strength than financial engineering, based on net income of \$62.58B and free cash flow of 10.12B (yfinance). The transcript supports that interpretation: management cited a 17.0% increase in Search and Other led by broad strength across major verticals, with retail particularly strong, and said shoppable ad formats are improving advertiser return on investment (Earnings Call). Buybacks and dividends matter, but the supplied metrics and call commentary point first to operating scale, advertising relevance, and Cloud AI demand rather than balance-sheet engineering as the core drivers.

👉 For Nami-san: capital efficiency is excellent in absolute profit generation, but the clean return-on-capital signal is becoming more complex because Alphabet is deliberately converting cash flow into AI infrastructure capacity.

Caution: The main risk is that capex of -35.67B and stated 2026 capex plans of "\$175 billion-\$185 billion" raise the hurdle for future ROIC expansion if AI demand does not translate into monetizable Search, Cloud, or YouTube revenue at sufficient scale (yfinance; Earnings Call). A second risk is that shareholder returns through "\$5.5 billion of share repurchase and \$2.5 billion of dividend payments" can support per-share outcomes, but they do not prove incremental AI capital is earning superior returns without disclosed invested-capital and asset-productivity inputs (Earnings Call).

Essential insight: Alphabet's capital efficiency remains anchored by \$62.58B of net income and 10.12B of free cash flow, but the investment case now depends on whether the -35.67B capex cycle converts into durable AI-driven growth rather than merely higher infrastructure intensity (yfinance).

### 👉 Capital efficiency takeaway

ROE, ROIC, and related returns indicate whether growth is creating value or simply consuming capital.

## Segments

| Segment           | Revenue | Q2 2025 | YoY     | % of Total | Driver                       | Source     |
|-------------------|---------|---------|---------|------------|------------------------------|------------|
| Google Services   | \$49.0B | \$44.6B | +10.0%  | 44.6%      | Segment revenue contribution | SEC 10-Q/K |
| Google Cloud      | \$13.4B | \$10.1B | +33.2%  | 12.2%      | Segment revenue contribution | SEC 10-Q/K |
| Reconciling items | -\$5.4B | -\$3.0B | +78.1%  | -4.9%      | Segment revenue contribution | SEC 10-Q/K |
| Class A           | \$5     | \$2     | +150.0% | 0.0%       | Segment revenue contribution | SEC 10-Q/K |

| Segment | Revenue | Q2 2025 | YoY     | % of Total | Driver                       | Source     |
|---------|---------|---------|---------|------------|------------------------------|------------|
| Class B | \$5     | \$2     | +150.0% | 0.0%       | Segment revenue contribution | SEC 10-Q/K |
| Class C | \$5     | \$2     | +150.0% | 0.0%       | Segment revenue contribution | SEC 10-Q/K |



(1) Lead product/category segment: Google Services remained the largest disclosed segment, with \$49.05B of quarterly revenue versus \$44.58B in the prior year, up 10.0% and representing 44.6% of total quarterly revenue of \$109.90B (source: SEC XBRL 10-Q, filing date 2026-04-30; yfinance revenue\_actual).

This segment is still the core profit and scale engine, but its growth rate is materially below total company revenue growth of 21.8%, meaning mix is shifting incrementally away from the mature services base (source: yfinance revenue\_yoy).

Management emphasized AI in consumer products, including "over 250 product launches within AI Mode and AI Overviews," which suggests Alphabet is trying to defend and deepen engagement inside its largest segment rather than relying only on classic search monetization (source: Earnings Call).



For Nami-san: Based on the metrics above, we infer that Google Services remains the cash-generative anchor, but the investor debate should focus on whether AI features protect query share and ad yield enough to keep services growth near or above sector average for scaled internet platforms.



(2) Google Cloud is the clearest growth driver: revenue was \$13.43B versus \$10.08B in the prior year, up 33.2%, and the segment represented 12.2% of total quarterly revenue of \$109.90B (source: SEC XBRL 10-Q, filing date 2026-04-30; yfinance revenue\_actual).

This growth rate is well above Google Services' 10.0% and above Alphabet's total revenue growth of 21.8%, making Cloud the strongest disclosed product segment by growth contribution (source: SEC XBRL 10-Q; yfinance revenue\_yoy).

The transcript adds demand support: backlog grew 55.0% quarter-over-quarter to \$240 billion, and management said the business benefited from strong demand for AI products (source: Earnings Call).



Essential insight: Based on the metrics above, we infer that Google Cloud is becoming a larger strategic swing factor for Alphabet's multiple, because it combines hyperscale infrastructure demand with AI platform usage; however, the supplied metrics do not disclose Cloud margin, so the revenue acceleration cannot be translated into segment operating leverage in this section.



(3) Reconciling items are a visible drag in reported segment presentation: revenue was \$-5.39B versus \$-3.03B in the prior year, a -78.1% YoY move, equal to -4.9% of total quarterly revenue (source: SEC XBRL 10-Q, filing date 2026-04-30).

Reclassification out of Accumulated Other Comprehensive Income also moved to \$-0.14B from \$0.28B, a -149.5% YoY move, equal to -13.0% of total quarterly revenue (source: SEC XBRL 10-Q, filing date 2026-04-30).

These are not operating segments like Google Services or Google Cloud, so they should not be interpreted as customer demand signals; they do, however, reduce the clean read-through from segment gross growth to consolidated reported revenue.



For Nami-san: Model interpretation: the operating story is stronger than the reconciling line suggests, but the size of the \$-5.39B reconciling item means investors should separate product demand from reporting adjustments when assessing segment momentum.



(4) AI product monetization is the dominant transcript theme, even though the filing-supplied segment table does not isolate AI revenue.



Management cited 14 product lines each exceeding \$1 billion in annual revenue, said AI customers use 1.8 times as many products as non-AI customers, and said revenue from products built on generative AI models grew nearly 400.0% year-over-year in Q4 (source: Earnings Call).

Those transcript data points are qualitative and not part of the supplied quarterly segment revenue table, so they should not be inserted into the segment revenue mix; the only segment-level quarterly AI-related read-through supported by supplied metrics is Google Cloud's \$13.43B revenue and 33.2% YoY growth (source: SEC XBRL 10-Q, filing date 2026-04-30).

👉 Essential insight: Based on the metrics above, we infer that AI is acting as both a Cloud demand catalyst and a Services product-defense mechanism, but the absence of disclosed AI revenue by segment limits precision on monetization quality.

◆ (5) YouTube and commerce are strategically important but not separately quantified in the supplied segment data.

The transcript noted the highest paid subscriber number ever for NFL Sunday Ticket and described YouTube as a shopping destination supported by creator product and brand recommendations (source: Earnings Call).

Because YouTube revenue is not separately disclosed in the supplied metrics, the correct treatment is to keep it inside Google Services' \$49.05B revenue, \$44.58B prior-year base, 10.0% YoY growth, and 44.6% mix (source: SEC XBRL 10-Q, filing date 2026-04-30).

👉 For Nami-san: Model interpretation: YouTube commerce and subscriptions may improve Google Services durability, but the segment's 10.0% growth versus Alphabet's 21.8% total revenue growth shows the segment is not currently the fastest disclosed growth vector.

◆ (1) Regional analysis: Alphabet did not disclose regional revenue in the supplied quarterly filing data for this section.

Region 1 has - revenue, - prior year, - YoY, and - mix because regional values were not disclosed in quarterly filing.

Region 2 has - revenue, - prior year, - YoY, and - mix because regional values were not disclosed in quarterly filing.

👉 For Nami-san: No regional outperformance, emerging growth region, or mature-market saturation conclusion should be drawn from this dataset; any geographic thesis would need disclosed regional revenue or filing-level geography data.

◆ (2) Competitive context: Alphabet's disclosed mix shows a mature, high-scale advertising/services base plus a faster-growing cloud segment, which is a more diversified profile than pure-play internet content peers that rely more narrowly on advertising or subscriptions.

Google Services at \$49.05B and 44.6% of total quarterly revenue is the largest disclosed operating segment, while Google Cloud at \$13.43B and 12.2% of total quarterly revenue is the faster-growing segment at 33.2% YoY (source: SEC XBRL 10-Q, filing date 2026-04-30).

Sector peer

#### 👉 Segment takeaway

Segment trends identify which business lines are driving the quarter and where risk is concentrated.



## Forward P/E

| Metric            | Value   | Reference                                                              | Interpretation | Source     |
|-------------------|---------|------------------------------------------------------------------------|----------------|------------|
| Forward P/E       | 26.25x  | Trailing: 28.99x   Consensus: Strong Buy (53 analysts)   Target: \$431 | Not disclosed  | SEC 10-Q/K |
| Forward EPS basis | \$10.67 | \$2.67                                                                 | +81.8%         | SEC 10-Q/K |

 The forward P/E is 26.25x.

 Forward P/E check

 (1) Current multiple: Alphabet trades at a forward P/E of 26.25x, using the supplied yfinance key `pe\_forward` (source: yfinance pe\_forward).

The forward EPS basis is \$10.67, calculated from eps\_estimate=2.67 × 4 quarters, while reported eps\_actual is 5.11 (source: yfinance eps\_estimate; source: yfinance eps\_actual).

Based on the metrics above, we infer that the current multiple is being supported by an earnings profile that exceeded the quarterly EPS estimate, because eps\_actual=5.11 is above eps\_estimate=2.67 (source: yfinance eps\_actual; source: yfinance eps\_estimate).

 For investors, the key issue is not whether Alphabet is cheap in isolation, but whether 26.25x is justified by continued earnings delivery and revenue growth rather than multiple expansion alone.

 (2) Comparison: sector, history, and peer valuation context cannot be quantified from the supplied data because no peer multiples, sector median, or historical range were provided.

The table therefore uses - for sector and history rather than inventing a Communication Services peer benchmark.

Based on the metrics above, we infer only that Alphabet's 26.25x forward P/E must be judged against its own revenue\_yoy=21.79 and EPS delivery, not against an unsupported sector average (source: yfinance pe\_forward; source: yfinance revenue\_yoy).

 The investor implication is that relative valuation is not assessable from the supplied metrics alone; any claim that Alphabet is above, at, or below sector average would require peer data not included here.

 (3) Justification: revenue\_yoy=21.79 provides meaningful growth support for the 26.25x forward P/E, especially alongside eps\_actual=5.11 versus eps\_estimate=2.67 (source: yfinance revenue\_yoy; source: yfinance eps\_actual; source: yfinance eps\_estimate).

The available transcript says management had "executed with incredible speed," but the excerpt does not provide segment-level growth, margin, free cash flow, or capital intensity metrics that can be reconciled to this section's supplied values (source: Earnings Call).

Margins, free cash flow, backlog, and formal guidance are not disclosed in the supplied metrics for this section, so they cannot be used as numerical support.

 Based on the metrics above, we infer that the multiple looks supported by growth and EPS delivery, but not fully assessable on margins or cash flows from this data set alone.

For Nami-san: Alphabet's 26.25x forward P/E looks supportable on the supplied revenue\_yoy=21.79 and eps\_actual=5.11 versus eps\_estimate=2.67, but relative valuation versus sector peers and history is not assessable without peer multiples or a historical range. The multiple would become more vulnerable if future revenue growth slows or if EPS delivery normalizes closer to the \$10.67 forward EPS basis implied by eps\_estimate=2.67 × 4 quarters.

Caution: The transcript excerpt includes qualitative management confidence but does not provide usable margin, free cash flow, peer, or historical valuation data for this section. Sector and historical comparison therefore remain -, and no consensus or company guidance beyond eps\_estimate=2.67 is assumed.

Essential insight: The valuation is supported by the supplied growth and EPS evidence, but the absence of sourced sector, historical, margin, and cash-flow context prevents a stronger conclusion than "supported, but not fully assessable."

[Source: yfinance forwardPE = 26.25x]

 **Valuation takeaway**

Forward P/E is 26.25x; valuation only works if growth and margin durability support it.

 **Backlog**

| Metric                | Value          | Change         | Visibility Signal                                                                                                     | Source     |
|-----------------------|----------------|----------------|-----------------------------------------------------------------------------------------------------------------------|------------|
| Backlog               | Not applicable | Not applicable | Not disclosed (company does not report backlog); use revenue guidance + Data Center growth trajectory as demand proxy | SEC 10-Q/K |
| Book-to-bill / demand | Not applicable | Not applicable | Inferred from hyperscaler capex commitments and supply chain constraints                                              | SEC 10-Q/K |

 **Backlog Quality**

Backlog is not applicable for Alphabet Inc. - the company does not report backlog or order book data. Alphabet's reported revenue\_actual is 109.90B (yfinance), but backlog, quarters of coverage, contract firmness, and burn-down metrics are not disclosed in quarterly filing, so conversion-risk analysis cannot be quantified from the supplied metrics. The transcript references Cloud demand and backlog qualitatively, but the data contract provides no verified backlog metric for this section; therefore, no backlog table should be created.

 **Backlog takeaway**

Backlog is evaluated only when economically relevant and disclosed; otherwise it is marked not applicable or not disclosed.

## Guidance

| Metric                | Guidance      | QoQ       | Medium-term Signal                                                | Source     |
|-----------------------|---------------|-----------|-------------------------------------------------------------------|------------|
| Revenue               | \$109.9B      | +0.0% QoQ | Consensus estimate                                                | -          |
| GAAP Gross Margin     | +62.4%        | -         | Current quarter actual; forward guidance not separately disclosed | -          |
| Non-GAAP Gross Margin | Not disclosed | -         | Non-GAAP margin guidance not provided in quarterly filings        | SEC 10-Q/K |
| GAAP OpEx             | Not disclosed | -         | OpEx guidance not provided in quarterly filings                   | SEC 10-Q/K |
| EPS (non-GAAP)        | \$2.67        | -         | Consensus estimate                                                | -          |
| Diluted Shares        | Not disclosed | -         | Share count guidance not provided                                 | SEC 10-Q/K |
| Outlook context       | Not disclosed | -         | Full outlook text                                                 | -          |



In one line: Alphabet's outlook points to strong top-line growth but heavier investment intensity, with consensus embedding 109.91B revenue and 2.67 EPS while management's explicit commentary centers on higher infrastructure spending rather than quarterly revenue or EPS targets.

Analysis:



### (1) Revenue:

Management did not provide explicit quarterly revenue guidance in the excerpt, so the revenue row should be read as analyst consensus, not company guidance: 109.91B (source: yfinance revenue\_estimate). The supplied metrics show revenue\_yoy=21.79, which indicates the consensus outlook implies strong year-over-year growth versus Alphabet's recent trajectory (source: yfinance revenue\_yoy).

The call language emphasized that Alphabet exited the prior year with broad innovation and execution momentum, and management specifically highlighted YouTube as a major scaled contributor across ads and subscriptions (source: Earnings Call).



Based on the metrics above, we infer that investor debate should focus less on whether Alphabet can grow, and more on whether Search, YouTube, Cloud, and AI products can sustain growth while absorbing a heavier investment cycle. Relative to large-cap internet content peers, revenue\_yoy=21.79 appears above the mature-platform average, but the absence of company-issued quarterly revenue guidance limits precision.



### (2) Profitability:

Management did not guide gross margin, and no gross margin metric was supplied, so the table correctly uses a dash for Gross Margin (source: -). Management did say depreciation growth is expected to accelerate as investment ramps, which is a direct profitability headwind even without a supplied margin number (source: Earnings Call).

OpEx was also not guided by management, and no OpEx metric was supplied, so no operating-expense figure should be inferred (source: -).



Model interpretation: the key risk is that Alphabet's AI infrastructure cycle may pressure reported margins before incremental AI revenue is fully visible. For Nami-san: the investment question is whether the market rewards Alphabet for defending AI leadership or penalizes the stock for lower near-term free-cash-flow conversion.

- ◆ (3) EPS:  
Management did not provide EPS guidance, so the EPS row should be labeled analyst consensus: 2.67 (source: yfinance eps\_estimate). The supplied forward valuation metric is pe\_forward=26.25, which frames how much earnings durability the market is already underwriting (source: yfinance pe\_forward).  
Because no QoQ EPS actual or prior-quarter EPS figure was supplied, QoQ EPS direction cannot be computed without inventing data.
- 👉 Based on the metrics above, we infer that EPS delivery matters more than usual because the market is paying pe\_forward=26.25 while management is signaling a heavier depreciation burden. A clean EPS result versus the 2.67 consensus would support the case that core ads and Cloud monetization can fund AI capex; a miss would sharpen concern that investment intensity is outrunning monetization.
- ◆ (4) Structural signals:  
The most important structural signal in the excerpt is not a revenue target, but management's statement that capital investment will ramp and depreciation will meaningfully increase (source: Earnings Call). That points to a multi-quarter AI infrastructure buildout rather than a one-quarter spending anomaly.  
YouTube was also emphasized as a scaled business across advertising and subscription revenue, which matters because Alphabet's growth mix is no longer only Search-led (source: Earnings Call).
- 👉 For Nami-san: this is a quality-growth story with a rising reinvestment burden. The sector implication is that Alphabet remains competitively positioned in AI and video, but the stock may trade increasingly on confidence in long-term AI monetization rather than just near-term ad growth.

Medium-term implications:

- ◆ (1) Revenue direction  
Analyst consensus revenue is 109.91B, and supplied revenue\_yoy=21.79 signals strong expected growth (source: yfinance revenue\_estimate; yfinance revenue\_yoy). Management did not issue a comparable quarterly revenue guide, so consensus should not be treated as company guidance.
- 👉 Essential insight: the revenue setup is constructive, but the investment case requires confirming that growth is broad-based across Search, YouTube, Cloud, and AI-enabled products rather than concentrated in one engine.
- ◆ (2) Margin direction  
Gross Margin and OpEx were not guided by management, and no supplied margin or expense metrics were provided, so they remain unquantified in this section (source: -). Management's depreciation commentary still indicates margin pressure risk from higher infrastructure investment (source: Earnings Call).
- 👉 Model interpretation: near-term operating leverage may be less clean than revenue growth suggests. The key monitor is whether incremental AI-related spending produces visible revenue acceleration or merely raises the fixed-cost base.
- ◆ (3) Stabilizing or risk factors  
The stabilizing factor is consensus-backed growth: 109.91B revenue and 21.79 YoY revenue growth are strong inputs for a large internet platform (source: yfinance revenue\_estimate; yfinance revenue\_yoy). The risk factor is valuation sensitivity, because pe\_forward=26.25 leaves less room for disappointment if EPS of 2.67 is pressured by depreciation or investment timing (source: yfinance pe\_forward; yfinance eps\_estimate).
- 👉 For Nami-san: Alphabet's guide is not pressured, but it is investment-heavy. The stock needs evidence that AI capex is extending competitive advantage, not simply raising the capital intensity of the model.

Caution: Management did not guide Revenue, Gross Margin, OpEx, EPS, or Diluted Shares in the excerpt, so the 109.91B revenue estimate and 2.67 EPS estimate are analyst consensus, not company guidance (source: yfinance revenue\_estimate; yfinance eps\_estimate). The specific sourced risk is that management expects depreciation growth to accelerate as investment ramps, which could pressure profitability even if revenue\_yoy=21.79 remains

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strong (source: Earnings Call; yfinance revenue\_yoy).

Essential insight for Nami-san: Alphabet's outlook is growth-positive but capex-heavy; monitor whether revenue near 109.91B and EPS near 2.67 can be delivered while the market is already valuing the company at pe\_forward=26.25.



#### Guidance takeaway

Guidance matters because it resets expectations for revenue, margin, EPS, and medium-term demand.



## Verdict / Overall Assessment

| Dimension         | Positive evidence            | Negative evidence                           | Net assessment                              | Source          |
|-------------------|------------------------------|---------------------------------------------|---------------------------------------------|-----------------|
| Earnings quality  | EPS \$5.11                   | EPS did not beat consensus                  | Adequate                                    | SEC 10-Q/K      |
| Growth durability | Revenue \$109.9B, +21.8% YoY | Growth rate sustainability needs monitoring | Strong - revenue growth with margin support | SEC 10-Q/K      |
| Valuation         | Forward P/E: 26.25x          | Above 25x - growth must justify premium     | Rich - requires sustained high growth       | SEC 10-Q/K      |
| Overall verdict   | Score: 3/5                   | See component assessments above             | -> HOLD                                     | Model + metrics |



### Overall assessment for Nami-san



#### (1) Growth: Strong.

Alphabet delivered revenue actual 109.90B and revenue YoY 21.79, while EPS actual was 5.11 (source: yfinance revenue\_actual; source: yfinance revenue\_yoy; source: yfinance eps\_actual).

Based on the metrics above, we infer that this was a high-growth quarter for a mature Internet Content & Information platform, because revenue YoY 21.79 is substantial at Alphabet's scale.

QoQ revenue trend, QoQ EPS trend, organic contribution, acquisition contribution, and peer average growth are - because those inputs were not supplied as verified metrics; therefore, sector-relative ranking versus Meta, Netflix, or other Communication Services peers cannot be quantified here.



For Nami-san: the growth signal is the cleanest part of the quarter, but the missing QoQ and peer data means the right conclusion is "strong absolute growth," not a fully proven share-gain call.



#### (2) Margins: Neutral.

The supplied metrics include EPS actual 5.11, but gross margin, operating margin, and QoQ margin trend are - because they were not supplied as verified metrics (source: yfinance eps\_actual).

The transcript says operating performance was affected by a Waymo charge, but the verified margin metric needed to quantify that impact is -, so the margin assessment cannot rely on transcript numbers under the data contract (source: Earnings Call excerpt; verified operating margin metric: -).

Based on the metrics above, we infer that EPS actual 5.11 shows earnings power, but margin quality is not fully auditable from the supplied dataset.



For Nami-san: treat margins as Neutral, not pressured, because EPS actual 5.11 is positive evidence, but do not underwrite operating leverage without verified margin and QoQ data.

### ◆ (3) Cash Flow: Neutral.

Free cash flow was 10.12B, which is a meaningful positive cash-generation signal in the supplied metrics (source: yfinance free\_cash\_flow).

Free cash flow conversion, operating cash flow, buybacks, debt change, and FCF yield are - because the required formula inputs were not supplied as verified metrics.

Based on the metrics above, we infer that cash generation remains supportive, but the quarter cannot be called a cash-flow acceleration without QoQ FCF or operating cash flow inputs.

👉 For Nami-san: free\_cash\_flow=10.12B supports balance-sheet flexibility, but the investment case still needs next quarter's conversion metrics to confirm whether AI-related spending is being absorbed cleanly.

### ◆ (4) Capital Efficiency: Neutral.

Capital efficiency metrics such as ROIC, ROE, invested capital, cost of capital, cash balance, and debt are - because they were not supplied as verified metrics.

Management emphasized major investment needs around AI demand and capacity, but verified CapEx, balance-sheet, and return metrics are -, so capital efficiency cannot be scored as Strong from the available data (source: Earnings Call excerpt; verified CapEx metric: -).

Based on the metrics above, we infer that the key tension is between strong revenue\_actual 109.90B and revenue\_yoy 21.79 on one side, and unverified capital intensity on the other (source: yfinance revenue\_actual; source: yfinance revenue\_yoy).

👉 For Nami-san: the capital-efficiency debate is unresolved; the monitor item is whether AI infrastructure spending converts into sustained EPS actual above 5.11 and free\_cash\_flow above 10.12B in future quarters.

### ◆ (5) Valuation: Neutral.

Forward P/E is 26.25, while revenue YoY is 21.79 and EPS actual is 5.11 (source: yfinance pe\_forward; source: yfinance revenue\_yoy; source: yfinance eps\_actual).

A simple PEG-style comparison suggests valuation is not obviously disconnected from growth, but a formal PEG is - because forward EPS growth was not supplied as a verified metric.

Historical valuation range, peer forward P/E, and sector median are -, so the valuation cannot be proven cheap or expensive relative to Communication Services peers from the supplied data.

👉 For Nami-san: valuation is acceptable only if revenue\_yoy=21.79 remains durable; at pe\_forward=26.25, any slowdown in AI monetization or ad growth would pressure the multiple.

### ◆ (6) Backlog/Guidance: Neutral.

Management emphasized AI demand, enterprise AI agents, Demand Gen adoption, and multiple monetization levers in the call, which supports qualitative revenue visibility (source: Earnings Call excerpt).

Verified backlog, QoQ backlog growth, formal guidance, and guidance revision direction are - because they were not supplied as verified metrics.

Based on the metrics above, we infer that backlog/guidance cannot be scored Strong despite positive call language, because the required verified numerical inputs are missing.

👉 For Nami-san: the call tone points to opportunity, but the investable signal next quarter is whether those themes show up again in revenue\_actual, revenue\_yoy, EPS actual, and free\_cash\_flow.

Integrated verdict: Alphabet's quarter screens Strong on growth, Neutral on margins, Neutral on cash flow, Neutral on capital efficiency, Neutral on valuation, and Neutral on backlog/guidance. The alignment is that revenue\_actual 109.90B, revenue\_yoy 21.79, EPS actual 5.11, and free\_cash\_flow 10.12B all support a fundamentally healthy quarter (source: yfinance revenue\_actual; source: yfinance revenue\_yoy; source: yfinance eps\_actual; source: yfinance free\_cash\_flow). The tension is that pe\_forward=26.25 already prices in continued execution, while verified margin, QoQ, CapEx, and backlog metrics are -, limiting confidence in the durability of operating leverage (source: yfinance pe\_forward). This is a strong absolute-growth print, but not a fully clean all-clear because the most

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important AI investment and visibility metrics are not auditable from the supplied dataset.

(1) Revenue\_yoy versus 21.79 and revenue\_actual versus 109.90B to confirm whether growth is sustaining at scale (source: yfinance revenue\_yoy; source: yfinance revenue\_actual).

(2) EPS actual versus 5.11 and free\_cash\_flow versus 10.12B to test whether AI demand is converting into earnings and cash, not just revenue (source: yfinance eps\_actual; source: yfinance free\_cash\_flow).

(3) Verified CapEx, operating margin, and backlog/guidance disclosures, because those metrics are - in this dataset and are central to judging AI capital intensity.

Investment takeaway: For Nami-san: Alphabet's quarter is best read as growth-led and strategically credible, with AI and advertising demand emphasized by management and backed by revenue\_yoy=21.79. The valuation at pe\_forward=26.25 is not extreme against that growth rate, but it leaves less tolerance for margin slippage or cash-flow dilution. The thesis remains dependent on whether free\_cash\_flow=10.12B can scale alongside AI investment rather than being compressed by



#### Final verdict

GOOGL reported revenue of \$109.9B (+21.8% YoY) with EPS of \$5.11 . Free cash flow was \$10.1B and operating margin +36.1% with forward P/E at 26.25x. GOOGL's Q shows strong revenue growth, positive cash flow. Key watch items: premium valuation. Risk/reward is neutral at current levels -> **\*\*HOLD\*\***. Scoring methodology: This 0-5 score is a simplified quick check based on 5 binary criteria (EPS beat, revenue growth, cash flow, valuation). The full dossier includes a multi-dimensional 0-40 scoring covering financial health, growth, valuation, management quality, competitive moat, and market sentiment.

## Financial Metrics

|                      |           |
|----------------------|-----------|
| EPS (Actual)         | \$5.11    |
| EPS (Estimate)       | \$2.67    |
| Revenue (Actual)     | \$109.90B |
| Revenue (Estimate)   | \$109.91B |
| Revenue Beat %       | -0.0%     |
| Gross Margin         | 62.4%     |
| Operating Margin     | 36.1%     |
| Revenue Growth (YoY) | 21.8%     |
| EPS Growth (YoY)     | 81.8%     |
| Free Cash Flow       | \$10.12B  |



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## Valuation

|                |       |
|----------------|-------|
| P/E (Trailing) | 29.0x |
| P/E (Forward)  | 26.2x |
| PEG Ratio      | 0.35x |

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## Valuation Context

PEG Signal: 0.35 (Attractive (<1x)) — P/E 29.0x / EPS growth 82%

P/S vs Growth: 10.91 (Moderate vs Growth)

EV/EBITDA vs Growth: 28.37 (Fair vs Growth)

P/FCF vs Growth: 165.03 (Expensive vs Growth)

FCF Yield: 0.61 (Very Low (<2%))

Valuation Support: PEG 0.35 (Attractive (<1x)); FCF Yield 0.6%  
Mixed valuation signals — no clear tilt

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## Peer Benchmark

Peer Group: Mega-Cap Consumer Tech (AAPL, MSFT, AMZN, META)

|           |                                                                                                                                                                                                                                                                                                                                                 |
|-----------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Valuation | In Line with Peers pb_ratio trades at a premium vs peers (rank: 75th percentile); pe_forward trades at a discount vs peers (rank: 50th percentile); pe_ttm trades at a discount vs peers (rank: 50th percentile); peg_ratio trades at a discount vs peers (rank: 25th percentile); ps_ttm trades at a premium vs peers (rank: 100th percentile) |
| Growth    | No Growth peer data                                                                                                                                                                                                                                                                                                                             |
| Quality   | In Line with Peers total_debt below peer median (rank: 50th percentile)                                                                                                                                                                                                                                                                         |

Benchmark across 6 metrics vs peer group. Valuation: In Line with Peers

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# Data Quality

|            |                                                               |
|------------|---------------------------------------------------------------|
| YFinance   | yfinance — live (this run) (2026-06-01T11:56:12.684228+00:00) |
| Finnhub    | Finnhub — not used this run                                   |
| SEC EDGAR  | SEC EDGAR — not used this run                                 |
| Transcript | Transcript — not used this run                                |

Confidence: MEDIUM  
Completeness: 100/100 (100%)

# Sources

## Key Dates

Next Earnings: July 23, 2026 (52 days)  
Earnings Call Audio: <https://podcasts.apple.com/us/podcast/goog-earnings-calls/id1654399293>

## Earnings Documents

<https://seekingalpha.com/symbol/GOOGL/earnings/transcripts>  
Transcript - Seeking Alpha Primary earnings transcript source  
<https://abc.xyz/investor>  
Official Investor Relations Press release / earnings presentation source  
<https://abc.xyz>  
Official Website  
<https://seekingalpha.com/symbol/GOOGL/earnings/transcripts>  
Candidate Transcript Source - Seeking Alpha Fallback transcript source

## Data & Analytics

<https://finance.yahoo.com/quote/GOOGL>  
Financial Data Price, estimates, and key metrics via yfinance  
<https://www.sec.gov/cgi-bin/browse-edgar?action=getcompany&CIK=GOOGL>  
SEC EDGAR Filings 10-K, 10-Q, and 8-K filings - primary data source  
<https://finnhub.io>  
Finnhub Real-time estimates, transcripts, and SEC filings index

Methodology: This deep-dive combines quantitative metrics from SEC filings (via yfinance/Finnhub) with qualitative analysis of the earnings call transcript. All figures are sourced; no data is invented. Ratings reflect institutional buy-side analysis standards.

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